is borrowed for more than 1 year then the interest is calculated for the total period during which the money is kept. This way of calculating interest for the total time period for the same Principal is known as simple interest.

We know that on a Principal of ₹ P at r % rate of interest per year, the interest paid for 1 year is $\frac{P \times r}{100}$. Hence the interest 'I' paid for 'n' years would be $\frac{P \times n \times r}{100}$ or $\frac{Pnr}{100}$.

The amount we have to pay at the end of 'n' years is $A = P + I$.

Example 2.24 Find the simple interest on ₹ 25,000 at 8% per annum for 3 years?

Solution

Here, the Principal (P) = ₹ 25,000

Rate of interest (r) = 8% per annum

Time (n) = 3 years

$$\text{Simple Interest (I)} = \frac{Pnr}{100}$$

$$= \frac{25000 \times 3 \times 8}{100} = 6000$$

Hence, Simple Interest (I) is ₹ 6,000.

Try these

1. Arjun borrowed a sum of ₹ 5,000 from a bank at 5% per annum. Find the interest and amount to be paid at the end of three year.
2. Shanti borrowed ₹ 6,000 from a Bank for 7 years at 12% per annum. What amount will clear off her debt?

Example 2.25 Kumaravel has paid simple interest on a certain sum for 2 years at 10% per annum is ₹ 750. Find the sum.

Solution

Given the rate of interest (r) = 10% per annum

Time (n) = 2 years

We know that Simple Interest (I) $= \frac{Pnr}{100}$

$$750 = \frac{P \times 2 \times 10}{100}$$

$$\text{Therefore, Principal (P)} = \frac{750 \times 100}{2 \times 10} = 3750$$

Therefore, Kumaravel has borrowed a sum of ₹ 3,750.

7th_Maths_LifeMath_Ch2.indd 41 05-11-2019 17:32:42